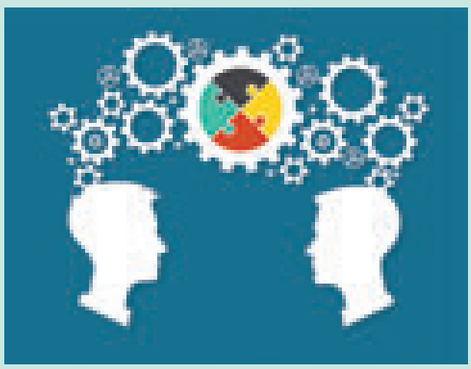
S.No.	Basis	Reserves	Provision
5.	Disclosure	It is shown on the liabilities side of the Balance Sheet.	It is shown on the assets side of the Balance Sheet by way of deduction from the concerned asset. For example Reserve for bad and doubtful debts is deducted from the balance of Sundry Debtors.
5.	Charge Against Profit	Reserves depend upon the profit position of the company, when a company suffers a loss no reserve is created.	Provisions do not depend upon the profit position of the company, hence they are created even when company suffers a loss.
6.	Payment to Shareholders	Reserves represent undistributed profit, hence it can be distributed amongst shareholders as dividend.	Provisions are not distributed to shareholders as dividend.
7.	Auditors Duty	An auditor need not interfere on creation of reserve except when Articles of Association specifically provide for creation of a reserve.	The auditor should carefully examine whether adequate provision has been created to meet the loss or liability.

STUDENTS ACTIVITY



1. Visit a industry and discuss with its owner's about the reserves they made.
2. Estimate total income of your parents. Discuss about creating reserves for unforeseen expenses of your family.
3. Discuss with your parents for making provision for meeting expected losses.
4. How would you create reserve funds from your students consumer club for meeting any emergency for your students.

Chapter_08.indd 123 12/23/2019 3:10:48 PM